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Priyanji Mediwake under supervision of Judith Jayasuriya has written this case solely for the Asper Business Case Competition (ABCC) 2026. The author has no intention to comment on or evaluate the handling of managerial decisions within the Access Credit Union. Photocopying transmitting, distributing or reproduction this case in any form or by any means is strictly prohibited.

Access Credit Union: Designing Digital Banking for the Next Generation

Introduction

Marlin Froese, Chief Information Officer, has seen Access Credit Union (Access) grow faster than almost anyone anticipated. Over the past several years, Access completed a series of amalgamations, becoming Manitoba's largest credit union by membership and assets under management (AUM). What was once a mid-sized regional institution now serves more than 206,000 members[1] across urban and rural communities, with assets exceeding $14 billion and a diversified portfolio of financial and subsidiary businesses.

From Marlin's perspective, scale alone is not the end goal. While recent growth has been driven largely by acquisitions and operational efficiencies, Access has **ambitious growth goals over the next five years.** Achieving that objective depends largely on whether Access can attract, engage, and retain the next generation of members.

Access's current membership base averages approximately 50 years of age, shaped by long-standing

[1] Access Credit Union

relationships built on trust, familiarity, and strong community ties. However, the drivers of future growth are shifting. Gen Z and the emerging Gen Alpha cohort represent the next wave of consumers, establishing their first financial relationships through digital-first banks and fintech platforms. These early relationships often persist, making it increasingly difficult for traditional banks and credit unions to later displace them as primary financial institutions. For Access, success with younger members is not defined simply by opening new accounts. Instead, the strategic objective is to establish early, primary financial relationships that can deepen over time - from first pay cheques and student borrowing to home ownership, investing, and entrepreneurship.

In principle, Access is well positioned to compete for these customers. Its cooperative model, grounded in member ownership, trust, and long-term financial well-being, aligns closely with the priorities of younger generations navigating rising costs of living, student debt, and delayed wealth accumulation. **Yet a growing gap is emerging between what Access stands for and how those values are understood and experienced, particularly by younger, digitally native members.**

> *"Digital investment is not only imperative for growth; it is about relevance in the market. The members we need for our future sustainability are choosing their financial institution today based on experience. For Access to maintain its relevance with future generations, we must meet members where they need us to be—on their phones."*
>
> *Rich Harries, Chief Operating Officer, Access Credit Union*

Understanding Access Credit Union

Access Credit Union is Manitoba's largest credit union, serving members through a network of 47 branches across the province. Headquartered in Manitoba, Access operates across both urban centers and rural communities.

Over the last several years, Access has completed a series of amalgamations, beginning with Crosstown Civic Credit Union in 2021, followed by Noventis and Sunova Credit Unions in 2022; Amaranth Credit Union in 2023; and, most recently, Carpathia and Casera Credit Unions in 2024. These amalgamations increase the organization's scale, expanding its geographic footprint and membership base. As of 2025, Access manages approximately $14.02 billion in AUM and employs

more than 925 people across its retail, commercial business, wealth advisory, and support functions.

Access's operations extend beyond traditional retail banking through a portfolio of wholly owned subsidiaries and digital divisions, including Brio Insurance, Hubert Financial, and Interlake Real Estate. Together, these businesses allow Access to reach different member segments, pilot alternative delivery models, and expand its offerings beyond core deposit and lending services, providing greater flexibility as member needs and expectations evolve.

As a member-owned cooperative, Access operates under a mandate that extends beyond profitability. Unlike shareholder-owned banks, Access's members are also its owners, with expectations of trust, transparency, and long-term financial stewardship. Access's purpose is centered on cultivating financial well-being in a changing world through innovation and accessibility (Appendix A).

This cooperative model shapes how Access approaches pricing, product design, and risk. The organization emphasizes competitive and transparent fees, relationship-based lending, and advice-driven member interactions, particularly during key life transitions. Community investment and local decision-making remain core elements of Access's value proposition, especially in rural and underserved areas.

The Manitoba Credit Union Landscape

Credit unions play a significant role in Manitoba's financial system and represent one of the strongest cooperative banking markets in Canada. Today, approximately 15 credit unions operate in the province, down from more than 30 in previous years following a series of strategic consolidations. These institutions operate within a robust regulatory framework that emphasizes financial stability, prudential oversight, and member protection.

From a competitive perspective, credit unions face pressure from multiple directions. Traditional banks and financial/insurance institutions remain direct competitors across core products such as deposits, lending, insurance, and wealth services. At the same time, the competitive landscape is

broadening. Digital-only banks and fintech firms including Wealthsimple, Simplii, and Tangerine are increasingly competing on mobile-first experiences, rapid innovation cycles, and personalized digital tools. Operating without physical branch networks, these institutions can concentrate investment and compete on digital channels and user experience.

In this landscape, credit unions have historically differentiated themselves through cooperative values. These strengths have fostered trust and loyalty over time, particularly among long term members and in smaller communities. Digital platforms have become increasingly central to how credit unions deliver value as branch networks consolidate and member behaviour shifts. At the same time, operating within shared-service environments constrains the ability of individual credit unions to differentiate through features, speed of innovation, and user experience. As a result, credit unions such as Access face a structural disadvantage in competing digitally at the very moment when digital experience matters most.

Member Demographics

Access serves a geographically and demographically diverse membership across Manitoba. As of 2025, the credit union serves approximately 187,663 personal members[2] and 18,922 business members. While demographics vary by branch and region, Access's average member age of 49.9 reflects a membership base skewed toward older cohorts, particularly in rural communities where Access has operated as a primary financial institution for decades. Customer engagement data reflects that product depth increases steadily with age, from fewer than three products among youth members to more than six among members aged 65 and older, underscoring the long-term value of establishing primary relationships earlier in a member's financial lifecycle.

These geographic and demographic differences are reflected in Access's market perceptions. While both top-of-mind and aided awareness of Access have increased in Winnipeg since 2023 (Appendix B), perception data indicates that members in south-central Manitoba are significantly more likely to view Access as a highly regarded, member-first institution that gives back to its communities

[2] Access Credit Union internal data, 2025

(Appendix C). Perceptions are notably weaker in Winnipeg, suggesting that Access's cooperative value proposition resonates most strongly where community presence and local relationships are pronounced, while translating that value consistently across larger and more digitally mediated markets remains a challenge.

Access's Relationships with Younger Consumers

Access actively invests in early engagement with younger consumers through community-based initiatives and financial literacy programming. One example is Lancer Credit Union, a student-run credit union operating within Dakota Collegiate in Winnipeg. Delivered in partnership with Access and embedded within the school's Career Development / Life Work curriculum, the program provides students with hands-on experience in real-world financial operations. Students earn academic credit while learning core financial concepts, personal management skills, and career fundamentals. The branch operates directly within the school, allowing students to open accounts and conduct basic transactions on-site, with day-to-day operations led by students and supported by school staff and Access employees.

Access also delivers financial literacy programming through broader community partnerships. In collaboration with Access's certified financial literacy trainers and the Winnipeg Blue Bombers, the credit union participates in the Each One Teach One program, which provides interactive financial education to communities across Manitoba (including schools). The program focuses on practical money management skills, budgeting fundamentals, and financial confidence, delivered in plain language and without direct promotion of financial products or services. Sessions are designed to be engaging and accessible, and in some cases include appearances by Blue Bombers players to increase participation.

Beyond formal education programs, Access builds brand awareness through community-oriented and experiential engagement. This includes the use of brand mascots, Bill and Nickel, two St. Bernards positioned as Directors of Greetings, who appear at community events and family-focused initiatives. These efforts are intended to humanize the brand and foster positive early associations with the credit union, particularly among children and youth.

However, converting early engagement into scalable insight and consistent primary relationships remains a challenge. Members under age 30 represent just over 17%[3] of Access's total membership and are underrepresented in member surveys, limiting visibility into the behaviours, preferences, and unmet needs of its youngest members. This constrains Access's ability to understand how early relationships established through student or entry-level products evolve into deeper product adoption and long-term loyalty. At the same time, available data suggests that this challenge may be less about retention than reach. Among Access's survey respondents under age 34, approximately 66% already consider Access their primary financial institution, and internal retention data shows that more than 93% of accounts opened under age 18 remain active three to five years later. Together, these figures indicate that when Access succeeds in establishing early relationships, those relationships tend to persist over time.

Broader demographic trends in Manitoba reinforce why attention to this age group is critical. Population growth in the province is increasingly concentrated in urban centres, particularly Winnipeg, and is driven by younger households and immigration, while rural communities continue to age and grow more slowly. As a result, the province's fastest-growing segments are younger, more diverse, and more digitally oriented than Access's current average member profile. Aligning with these shifts will be critical to sustaining Access's relevance and growth over time.

The Coming Wealth Transfer

Beyond member acquisition, Access's long-term growth (along with their competitors) is shaped by a broader structural shift underway in Canada: a significant generational transfer of wealth. As Canada's population ages, assets held by Baby Boomers are increasingly expected to transfer to spouses and, over time, to younger generations. This transition is occurring alongside important changes in financial decision-making dynamics, including a growing concentration of wealth among women, who are projected to control nearly $4 trillion in assets in Canada by 2028 [4].

[3] Access Credit Union internal data, 2025

[4] https://www.debt.ca/blog/the-great-wealth-transfer-in-canada

This wealth transfer presents both opportunity and risk for financial institutions. While existing members may hold substantial assets today, those assets do not automatically remain with the same institution once ownership changes hands. Research suggests that a significant proportion of surviving spouses and heirs switch financial institutions following major life events, particularly when existing relationships feel complex, advisor-led, or poorly aligned with their preferences.

For Access, this dynamic reinforces the importance of establishing strong primary financial relationships with younger members before wealth transfers occur. As Millennials and Gen Z inherit assets and assume greater financial responsibility, they are more likely to consolidate banking, savings, and investment activity with institutions that already provide intuitive digital experiences, transparent tools, and accessible guidance. In this context, digital banking capabilities play a critical role not only in attracting younger members, but in retaining assets across generations.

Access's Digital Banking Platform

Access's current digital banking platform solution was deployed in June 2021 through a shared-service hosting model. The platform is licensed and managed by an external hosting provider that supports multiple credit unions operating on a similar technology stack. At the time of deployment, Access' asset base was significantly smaller and operated with a smaller internal technology team. The shared-service model represented a pragmatic and low-risk way to modernize digital capabilities while preserving cost discipline and operational stability. The 2021 implementation was not Access's first digital banking solution. The credit union launched its initial online banking platform in the early 2000s and introduced mobile banking applications in 2013.

Under the current arrangement, Access relies on their platform for both core banking and digital banking services, supported by a range of ancillary systems tied to core operations. These systems include financial accounting platforms and branch-level technologies such as identity scanners, receipt printers, and other transaction-processing tools. This integrated environment simplifies vendor management and reduces the need for Access to maintain extensive internal infrastructure.

One of the primary advantages of the platform continues to be its low demand on internal resources. Infrastructure management, system maintenance, and major upgrades are largely handled by the hosting provider, with costs shared across participating credit unions. This model has provided economies of scale and predictable operating expenses, aligning well with Access's cooperative approach and historically conservative risk profile.

> *"This is ridiculous. What kind of banking app only works 15% of the time. Week in and week out this app decides when and if you are allowed access to your money. I'm stuck unable to pay bills all weekend due to this unreliable app. the part that really bothers me is the app I used before the merger with Casera was excellent. Everything with Casera I was happy with Access is much lower quality everything. I wish they never merged and I'm looking at dealing with a different bank at this point."*
>
> *Google Play Customer Review*

As Access has scaled, the limitations of its current digital platform have become increasingly apparent. Members experience recurring outages and service degradations, particularly during scheduled maintenance windows. Time to market for new features remains slow, as enhancements must be coordinated across multiple institutions and prioritized within a shared development roadmap. As a result, Access has limited ability to respond quickly to member feedback or to meaningfully differentiate its digital experience from other credit unions operating on the same platform. Repeated disruptions and extended resolution timelines have strained internal operations and eroded member trust, a pattern reflected in persistent member complaints and low app store ratings (1.9 stars on Apple and 1.5 stars on Google Play).

Usage data highlights both the platform's reach and its engagement challenges. Approximately 67.8% [5] of members are enrolled in online or mobile banking, indicating broad access to digital channels. However, only 17% of members regularly view statements online, suggesting relatively shallow engagement for many users. At the same time, transaction volumes remain high, with members sending more than 2.3 million Interac e-Transfers and receiving approximately 1.9 million annually. These volumes underscore the operational importance of platform reliability for everyday banking activity.

[5] Access Credit Union, 2024 Annual Report

These constraints are increasingly misaligned with Access's current scale. When the online banking platform deployed in 2021, Access served approximately 92,000 members[6] and managed roughly 6 billion in assets. By 2025, the credit union serves ~206,000 members and manages over 14 billion dollars in assets. What once represented an efficient and appropriate solution now limits Access's ability to evolve at the pace required in a more competitive and digitally driven environment.

As in-branch transactions decrease, the digital platform is no longer a supplemental channel but a primary interface for member relationships. Reliability, usability, and personalization therefore take on heightened importance, increasing the strategic risk of continued outages, slow innovation cycles, and limited control over the member experience.

As digital channels become central to member relationships rather than supplemental touchpoints, Access's leadership increasingly views greater autonomy and control over the digital experience as a strategic necessity. This tension becomes more pronounced as the credit union approaches the expiration of its current platform contract within the next few years.

Leadership must now evaluate a set of fundamentally different paths for the future of Access's digital banking platform. One option is to exit the current contract and select a new externally sourced platform, retaining a buy-and-customize approach while seeking greater flexibility and control. A second option is to exit the contract and pursue a more internally driven build model, maximizing ownership, differentiation, and long-term autonomy. Each path carries distinct implications for cost, risk, speed of innovation, organizational capability, and Access's ability to compete for younger members in an increasingly digital financial landscape.

Historically, Access has favoured a buy-and-customize approach, consistent with most credit unions of comparable size. Building and operating a proprietary digital banking platform has been viewed as cost-prohibitive, given the scale of upfront investment required, the complexity of regulatory and cybersecurity obligations, and the long development timelines associated with mission-critical systems. Externally sourced platforms have offered proven functionality, shared costs, and reduced

[6] Access Credit Union, 2021 Annual Report

implementation risk.

At the same time, the competitive context is evolving. Many of the most highly regarded digital experiences in Canadian financial services are built on internally developed or deeply customized platforms. Institutions such as Wealthsimple, EQ Bank, and Neo Financial have differentiated themselves through rapid feature deployment, intuitive user interfaces, and tightly integrated digital journeys across spending, saving, and investing. These competitors rely less on branch footprint or product breadth and more on speed of innovation, user experience, and continuous iteration informed by real-time customer data.

Internal Capability and Organizational Readiness

Budget considerations add complexity to Access's platform decision. The credit union does not currently allocate a fixed budget for a next-generation digital banking platform. Capital investments of this scale are assessed through formal business cases, with funding determined based on strategic alignment, expected return on investment, and organizational capacity. Access's financial performance in 2024 demonstrates a solid economic foundation for strategic investment (Appendix D). With total assets of $13.43 billion and strong deposit and loan growth, the credit union generated approximately $48.1 million in income and maintains equity of $776.1 million. While this performance underscores resilience and stability, it also highlights the need to balance current operating costs with long-term investment in digital capabilities. Industry benchmarks suggest that large Canadian credit unions typically invest ~10%+ of annual income on technology-related initiatives, with core digital banking transformations often representing multi-year investments.

Further to this any shift in digital platform strategy must be assessed against Access's internal capabilities. The credit union maintains a dedicated internal IT function responsible for enterprise technology operations, vendor management, and digital delivery. As of 2025, Access's IT organization comprises approximately 70–75 resources[7]. Of these, roughly eight team members are directly involved in supporting and managing core banking, digital banking, and payments platforms,

[7] Access Credit Union internal interviews, 2025

including oversight of the managed service provider, quality assurance, and delivery coordination. In addition, Access employs approximately 12 Software Developers focused on internal applications, data dashboards, reporting, and analytics. These resources support internal decision-making and operational efficiency rather than member-facing core or digital banking platforms. The remainder of the IT organization supports information security, helpdesk services, network operations, and data center infrastructure. While some IT resources provide support to insurance and real estate subsidiaries, those responsible for core and digital banking systems are dedicated to the credit union's primary operations and are not shared across the broader credit union collective.

This operating model has enabled Access to maintain operational stability, manage vendor relationships effectively, and deliver incremental digital enhancements. At the same time, it reveals clear capacity constraints. A move toward greater platform ownership—whether through deeper customization, a single-instance hosting model, or a more internally driven solution—would require additional technical skill sets, expanded delivery capacity, and changes to governance, resourcing, and ways of working across the organization.

As a result, the platform decision extends beyond technology selection. It represents a broader organizational choice about how much control Access is willing to assume, how quickly it aims to innovate, and what capabilities it must build to support its next phase of growth. In this context, the question facing Access is not only which digital platform to adopt, but what kind of digital organization must it become to execute its long-term strategy.

The Decision Ahead

As Access looks to its next phase of growth, leadership faces a fundamental strategic question: **how can the credit union design a digital banking experience that resonates with Gen Z and Gen Alpha across both urban and rural communities while preserving cooperative values, financial discipline, and long-term sustainability?**

At its core, the decision extends **beyond** technology selection. It requires Access to strategically determine how it intends to position itself in the financial lives of the next generation, and whether

its current digital operating model can support that ambition over the next five to seven years.

To address this challenge, your solution should consider:

1. How should Access position itself in the financial lives of Gen Z and Gen Alpha members, and what clear consumer value proposition should it offer to this demographic?
2. A platform alone will not suffice – a strategy is needed. Beyond a platform, what can Access do to engage Gen Z and Gen Alpha?
3. Which digital capabilities (features) and experiences are most critical to earning early engagement and sustaining relevance as members progress through life stages?
4. How should Access evaluate the trade-offs between buying and building a digital banking platform, given its operating model, risk profile, and internal resource constraints?
5. What near-term actions should Access prioritize to build momentum with younger members while longer-term platform decisions are assessed?

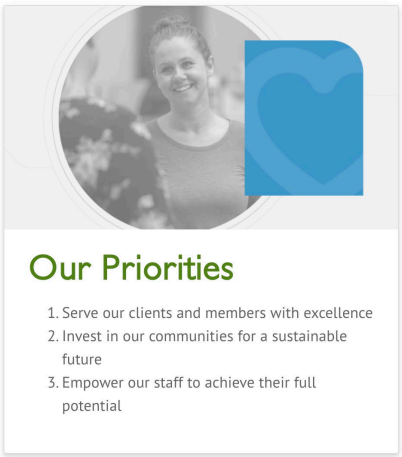
Appendix A: Vision & Values

Source: Access Credit Union



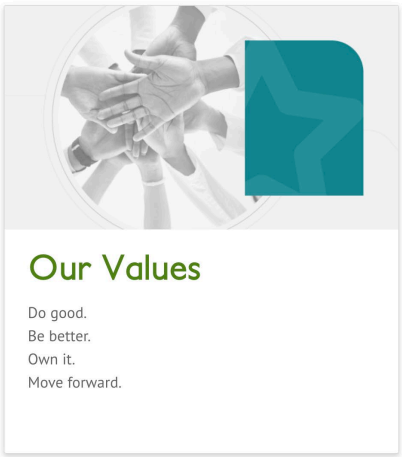
Our Vision

To **cultivate** financial well-being in a changing world through **innovation** and **accessibility**.



Our Priorities

1. Serve our clients and members with excellence
2. Invest in our communities for a sustainable future
3. Empower our staff to achieve their full potential

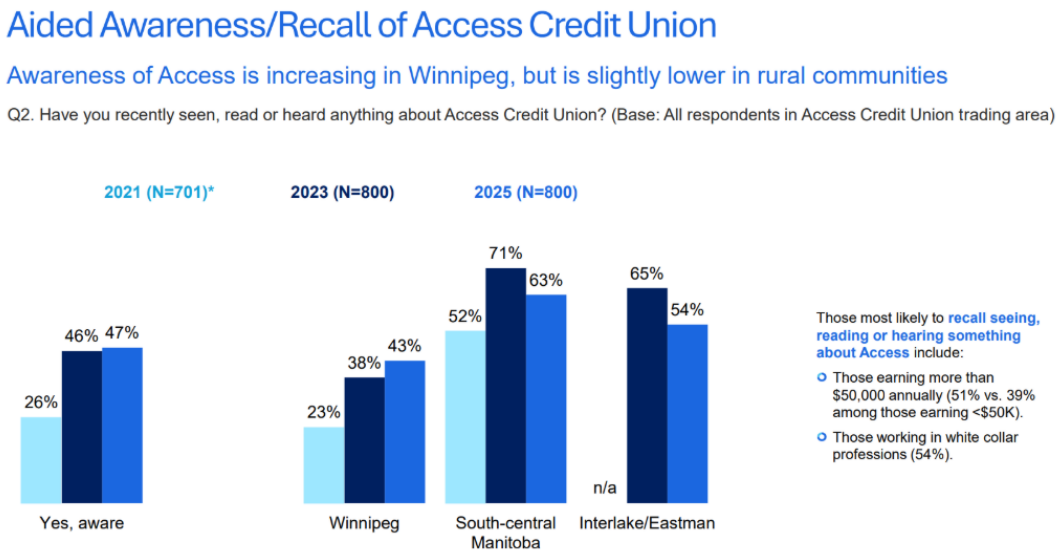


Our Values

Do good.
Be better.
Own it.
Move forward.

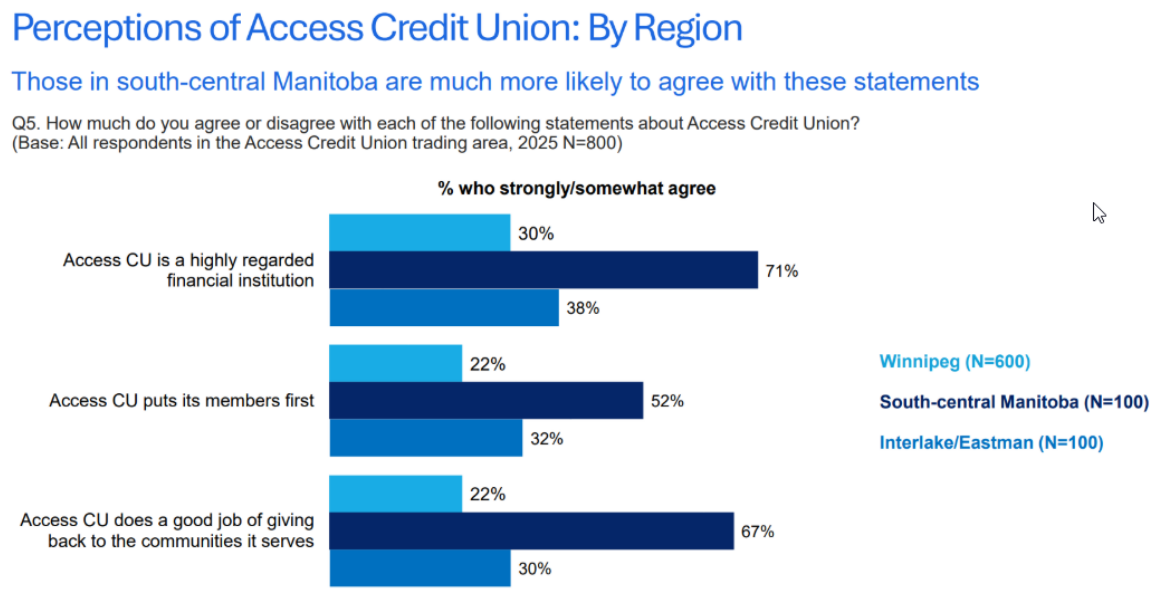
Appendix B: Awareness and Recall

Source: Access Credit Union



Appendix C: Member Perception

Source: Access Credit Union



Appendix D: Financial Snapshot

Source: Access Credit Union, Summary Consolidated Financial Statements, year ended December 31, 2024

Scale and Balance Sheet

- Total assets: $13.43 billion
- Members' loans: $11.56 billion
- Members' savings and deposits: $11.61 billion

Access Credit Union operates at significant scale within the Manitoba credit union system, with a balance sheet that reflects strong core lending activity supported by a stable deposit base.

Profitability and Performance

- Net income and comprehensive income: approximately $48.1 million
- Total operating expenses: approximately $181.5 million

Despite rising operating costs, Access generated consistent earnings in 2024, supporting both ongoing operations and reinvestment in the business.

Capital and Financial Strength

- Members' equity: $776.1 million
- Regulatory position: Access remains in compliance with capital and liquidity requirements set by the Deposit Guarantee Corporation of Manitoba

The credit union maintains a strong capital position, providing resilience and financial flexibility while operating within a conservative cooperative risk framework.